Type MS · Draw a demand or supply shift and new equilibrium

Answer 1 of 18 · Question 1 part g · 3 marks

2020 JAN · Paper 01 · extract 1 of 5 · find part g in this mark scheme extract

1(a)	**AO1 1 mark** **D** 0	**(1)**

Question number	Answer	Mark
1(b)	**AO2 1 mark** **D** $750 000	**(1)**

Question number	Answer	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to amount producers are willing and able to sell and 1 mark for reference to price The quantity of goods or services producers are willing and able to sell **(1)** at a given price/at a given time **(1)**	**(2)**

Question number	Answer	Mark
1(d)	**AO1 1 mark** Award 1 mark for correct example Building construction/Car production/Shipbuilding Accept any other appropriate response	**(1)**

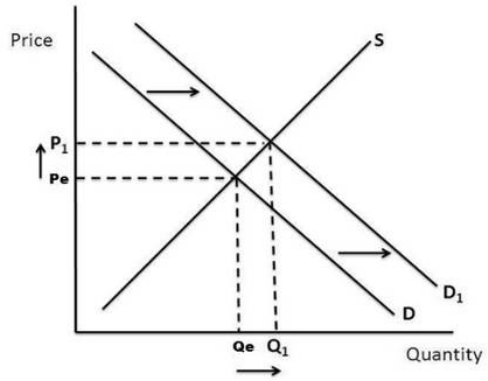
Question number	Answer	Mark
1(e)	**AO1 1 mark** Award 1 mark for a correct definition The people used in the production of goods and services Accept any other appropriate response	**(1)**

Type MS · Draw a demand or supply shift and new equilibrium

Answer 1 of 18 · Question 1 part g · 3 marks

2020 JAN · Paper 01 · extract 2 of 5 · find part g in this mark scheme extract

Question number	Answer	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation 10 ÷ 25 **(1)** Award 1 mark for correct income elasticity of demand (YED). = 0.4 **(1)** Award 2 marks if YED is correctly calculated as 0.4, even if no calculations are shown Do not award marks for the formula	**(2)**

Question number	Answer	Mark
1(g)	**AO2 3 marks** Award 1 mark for rightward shift of demand, labelled Award 1 mark for higher equilibrium price, labelled Award 1 mark for higher equilibrium quantity, labelled  	**(3)**

Type MS · Draw a demand or supply shift and new equilibrium

Answer 1 of 18 · Question 1 part g · 3 marks

2020 JAN · Paper 01 · extract 3 of 5 · find part g in this mark scheme extract

Question number	Answer	Mark
1(h)	**AO2 3 marks** Award 1 mark for identifying an opportunity cost Award 1 mark for developing the opportunity cost Award 1 mark for the response being in context • The opportunity cost is a new school the government cannot build **(1)** it cannot build the school and the hospital **(1)** because it does not have the resources/money to fund both **(1)** Accept any other appropriate response	**(3)**

Type MS · Draw a demand or supply shift and new equilibrium

Answer 1 of 18 · Question 1 part g · 3 marks

2020 JAN · Paper 01 · extract 4 of 5 · find part g in this mark scheme extract

Question number	Indicative content		
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • It is an economic assumption that firms will want to profit maximise • By matching fundraising of up to $1 000 per employee, McAfee would reduce the profits it can make • It is possible McAfee will attract positive publicity due to its fundraising match programme • This means that consumers may be more likely to buy computer software security from McAfee rather than its competitors • Staff may also be motivated by the programme so staff turnover may reduce/productivity may increase • Therefore McAfee could still make larger profits than if it did not run the programme • McAfee already has a revenue of over $2.5bn so may believe it can afford to be charitable		
Level	**Mark**	**Descriptor**	
	0	No rewardable material.	
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).	
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).	
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).	

Type MS · Draw a demand or supply shift and new equilibrium

Answer 1 of 18 · Question 1 part g · 3 marks

2020 JAN · Paper 01 · extract 5 of 5 · find part g in this mark scheme extract

Question number	Answer	Mark

Type MS · Draw a demand or supply shift and new equilibrium

Answer 2 of 18 · Question 1 part g · 3 marks

2019 JUN · Paper 01 (regional R) · extract 1 of 6 · find part g in this mark scheme extract

1(a)	**AO1 1 mark** A Large firms dominate	**(1)**

Question number	Answer	Mark
1(b)	**AO2 1 mark** C $ 60 000	**(1)**

Question number	Answer	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to a good for which the rise in demand is proportionally more than that of income and 1 mark for reference to income elasticity of demand being greater than one • A good for which income elasticity of demand is greater than 1 **(1)** the proportionate change in demand is greater than the proportionate change in income **(1)** OR • Luxury goods are products that are not essential **(1)** but are highly desired and associated with wealthy people **(1)**	**(2)**

Type MS · Draw a demand or supply shift and new equilibrium

Answer 2 of 18 · Question 1 part g · 3 marks

2019 JUN · Paper 01 (regional R) · extract 2 of 6 · find part g in this mark scheme extract

Question number	Answer	Mark
1(d)	**AO1 1 mark** Award 1 mark for one correct factor • Factors of production • Availability of stocks • Spare capacity • Time	**(1)**

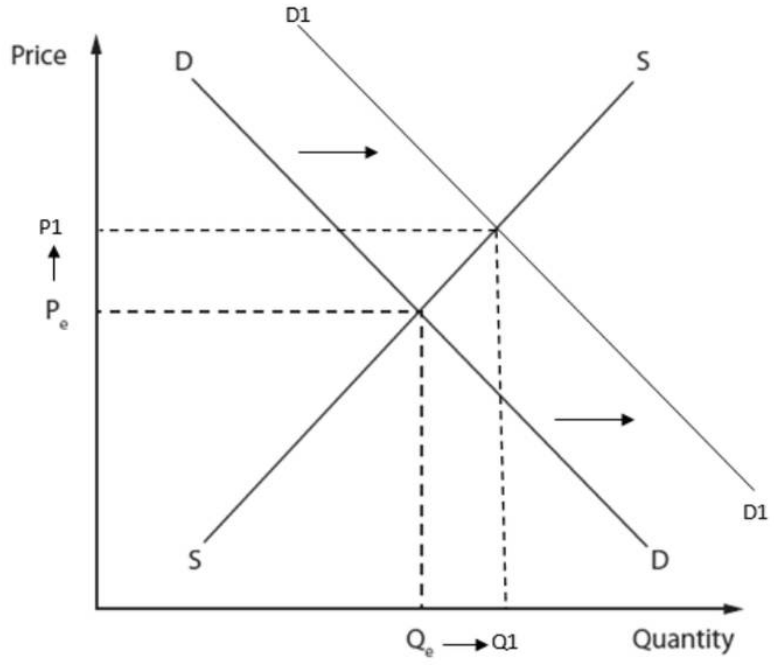
Question number	Answer	Mark
1(e)	**AO1 1 mark** Award 1 mark for reference to a good bought as an alternative to another good Goods which are used as an alternative to another good	**(1)**

Question number	Answer	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation 3.9 ÷ 5.2 **(1)** Award 1 mark for correct price elasticity of supply (PES) = 0.75 **(1)** Award 2 marks if PES is correctly calculated, even if no calculations are shown Do not award marks for the formula	**(2)**

Type MS · Draw a demand or supply shift and new equilibrium

Answer 2 of 18 · Question 1 part g · 3 marks

2019 JUN · Paper 01 (regional R) · extract 3 of 6 · find part g in this mark scheme extract

Question number	Answer	Mark
1(g)	**AO2 3 marks** Award 1 mark for rightward shift of demand, labelled Award 1 mark for higher equilibrium price, labelled Award 1 mark for higher equilibrium quantity, labelled  	**(3)**

Type MS · Draw a demand or supply shift and new equilibrium

Answer 2 of 18 · Question 1 part g · 3 marks

2019 JUN · Paper 01 (regional R) · extract 4 of 6 · find part g in this mark scheme extract

Question number	Answer	Mark
1(h)	**AO2 3 marks** Award 1 mark for identifying a relevant disadvantage Award 1 mark for developing the disadvantage Award 1 mark for the response being in the context of Robert's wood carving business • One disadvantage is that the price may be higher **(1)** this is due to a lack of choice **(1)** because there are no other local wood carvers that customers can use **(1)** • One disadvantage is that it may take a long time to receive the order **(1)** because Robert is a small business and he is working alone **(1)**, and it takes time for him to make each individual door sign **(1)** Accept any other appropriate response	**(3)**

Question number	Indicative content
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Robert may have decided it could be too time consuming and difficult to obtain additional finance in order to expand • Robert is operating in a niche market, meaning he can specialise in the requirements of his customers rather than mass production • As the door signs and gifts are made to order, and to the requirements of the customer, Robert prefers to stay small and focus on their individual needs • Robert is an entrepreneur and may have different aims to the more typical profit maximisation of some firms • He may feel that working from home, providing a high quality specialised customer service is more important • The size of the market for speciality carvings may not warrant expansion

Type MS · Draw a demand or supply shift and new equilibrium

Answer 2 of 18 · Question 1 part g · 3 marks

2019 JUN · Paper 01 (regional R) · extract 5 of 6 · find part g in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Draw a demand or supply shift and new equilibrium

Answer 2 of 18 · Question 1 part g · 3 marks

2019 JUN · Paper 01 (regional R) · extract 6 of 6 · find part g in this mark scheme extract

Question number	Answer	Mark

Type MS · Draw a demand or supply shift and new equilibrium

Answer 3 of 18 · Question 1 part g · 3 marks

2019 JUN · Paper 01 · extract 1 of 5 · find part g in this mark scheme extract

1(a)	**AO1 1 mark** **A** Land	**(1)**

Question number	Answer	Mark
1(b)	**AO2 1 mark** **A** $190 000	**(1)**

Question number	Answer	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to amount willing to be purchased and 1 mark for reference to price The quantity of goods/services consumers are willing and able to buy **(1)** at a given price **(1)**	**(2)**

Question number	Answer	Mark
1(d)	**AO1 1 mark** Award 1 mark for correct formula Private costs + external costs	**(1)**

Type MS · Draw a demand or supply shift and new equilibrium

Answer 3 of 18 · Question 1 part g · 3 marks

2019 JUN · Paper 01 · extract 2 of 5 · find part g in this mark scheme extract

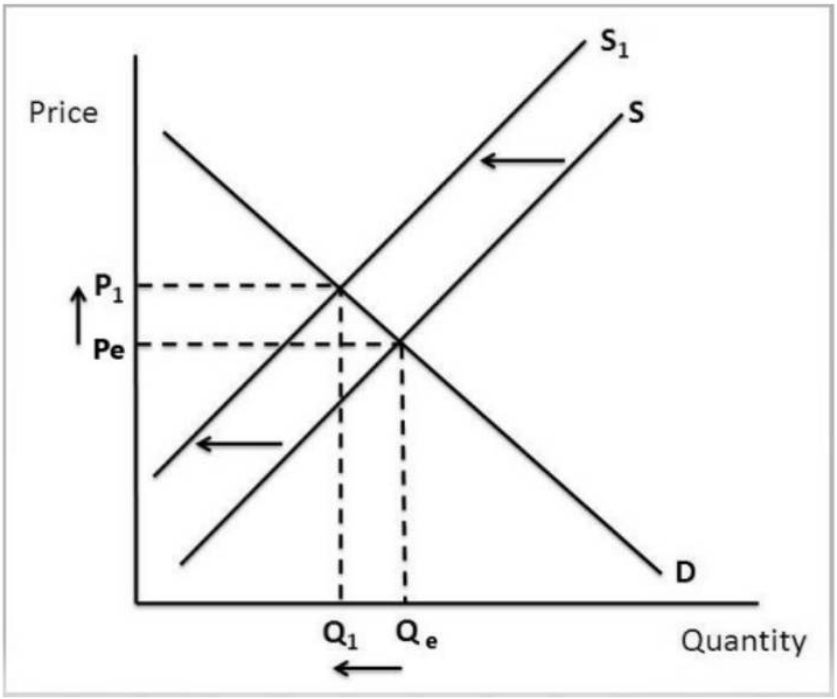
Question number	Answer	Mark
1(e)	**AO1 1 mark** Award 1 mark for reference to the relevant sector of the economy The provision of services in the economy	**(1)**

Question number	Answer	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation $12 100 ÷ 2 000 **(1)** Award 1 mark for correct average cost per unit (AC) = $6.05 **(1)** Award 2 marks if average cost per unit is accurately calculated, even if no calculations are shown Award 1 mark if students show calculation and put 6.05 without the dollar sign Do not award marks for the formula	**(2)**

Type MS · Draw a demand or supply shift and new equilibrium

Answer 3 of 18 · Question 1 part g · 3 marks

2019 JUN · Paper 01 · extract 3 of 5 · find part g in this mark scheme extract

Question number	Answer	Mark
1(g)	**AO2 3 marks** Award 1 mark for leftward shift of supply, labelled Award 1 mark for higher equilibrium price, labelled Award 1 mark for lower equilibrium quantity, labelled  	(3)

Question number	Answer	Mark
1(h)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in the context of music concerts • One reason is that there are no substitutes **(1)** if they want to see the artist performing live **(1)** the consumer will have no choice but to pay a high amount **(1)** Accept any other appropriate response	**(3)**

Type MS · Draw a demand or supply shift and new equilibrium

Answer 3 of 18 · Question 1 part g · 3 marks

2019 JUN · Paper 01 · extract 4 of 5 · find part g in this mark scheme extract

Question number	Indicative content
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Inca Kola was a major competitor of Coca-Cola and the market leader • Coca-Cola had a slightly lower share of the market than Inca Kola, with 32.0% compared to 32.9% • Inca Kola was well established in Peru (since 1935) • Buying a share of the company was a way to benefit from the success rather than struggle to compete • The purchase meant Coca-Cola no longer needed to compete with Inca Kola for market share • Coca-Cola's purchase means they have much more control over the Peruvian fizzy soft drinks market • Coca-Cola also gets a share of Inca Kola's profits

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Draw a demand or supply shift and new equilibrium

Answer 3 of 18 · Question 1 part g · 3 marks

2019 JUN · Paper 01 · extract 5 of 5 · find part g in this mark scheme extract

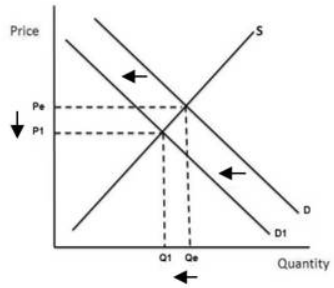
Question number	Answer	Mark

Type MS · Draw a demand or supply shift and new equilibrium

Answer 4 of 18 · Question 1 part g · 3 marks

2020 NOV · Paper 01 (regional R) · extract 1 of 5 · find part g in this mark scheme extract

1(a)	**AO1 1 mark** **B** Secondary	**(1)**

Question number	Answer	Mark
1(b)	**AO2 1 mark** **C** 	**(1)**

Question number	Answer	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to multiplying the price of each unit and 1 mark for reference to the number of units sold The amount of money a firm receives **(1)** from selling its output **(1)** Accept any other appropriate response	**(2)**

Question number	Answer	Mark
1(d)	**AO1 1 mark** Award 1 mark for correct cause Better technology/increased efficiency Accept any other appropriate response	**(1)**

Type MS · Draw a demand or supply shift and new equilibrium

Answer 4 of 18 · Question 1 part g · 3 marks

2020 NOV · Paper 01 (regional R) · extract 2 of 5 · find part g in this mark scheme extract

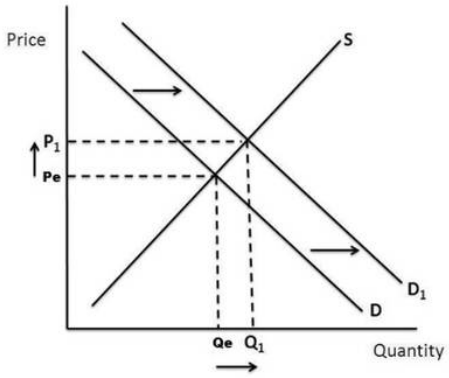
Question number	Answer	Mark
1(e)	**AO1 1 mark** Award 1 mark for a correct definition A benefit to a third party Accept any other appropriate response	**(1)**

Question number	Answer	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation 6,000 - (1,200 + 1,450 + 1,625) **(1)** Award 1 mark for correct excess supply = 1,725 tour guides **(1)** Award 2 marks if excess supply is correctly calculated, even if no calculations are shown Do not award marks for the formula	**(2)**

Type MS · Draw a demand or supply shift and new equilibrium

Answer 4 of 18 · Question 1 part g · 3 marks

2020 NOV · Paper 01 (regional R) · extract 3 of 5 · find part g in this mark scheme extract

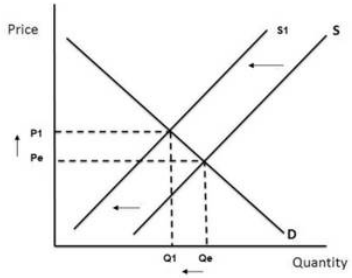
Question number	Answer	Mark
1(g)	**AO2 3 marks** Award 1 mark for rightward shift of demand, labelled Award 1 mark for higher equilibrium price, labelled Award 1 mark for higher equilibrium quantity, labelled  	(3)

Question number	Answer	Mark
1(h)	**AO2 3 marks** Award 1 mark for identifying a relevant advantage Award 1 mark for developing the advantage Award 1 mark for the response being in context • One advantage of the takeover may be improved quality **(1)** because Connect Airways may make higher profits **(1)** so it may be able to finance more comfortable airline seats for its passengers **(1)** • One advantage may be economies of scale from the link with Virgin **(1)** because the new airline can buy fuel in bulk at a lower cost **(1)** passengers may then benefit from decreased prices **(1)** Accept any other appropriate response	(3)

Type MS · Draw a demand or supply shift and new equilibrium

Answer 4 of 18 · Question 1 part g · 3 marks

2020 NOV · Paper 01 (regional R) · extract 4 of 5 · find part g in this mark scheme extract

Question number	Indicative content
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • The supply curve shows how much of a good that producers are willing and able to supply at different prices over time • Natural factors such as adverse weather could shift the supply curve inwards/to the left • Possible use of a diagram:  • Adverse weather such as a typhoon can reduce supply because it can make it more difficult (destroying property, equipment washed away) to supply and more expensive (costing one restaurant owner between HK$300 000 and HK$400 000) • If it is more difficult and/or more expensive to supply (the quantity supplied is likely to shift from Qe to Q1 on the diagram) • This will therefore result in an increase in the price (from Pe to P1) if demand stays the same

Type MS · Draw a demand or supply shift and new equilibrium

Answer 4 of 18 · Question 1 part g · 3 marks

2020 NOV · Paper 01 (regional R) · extract 5 of 5 · find part g in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	**1–2**	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	**3–4**	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	**5–6**	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

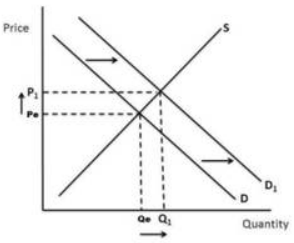
Question number	Answer	Mark

Type MS · Draw a demand or supply shift and new equilibrium

Answer 5 of 18 · Question 1 part g · 3 marks

2020 NOV · Paper 01 · extract 1 of 4 · find part g in this mark scheme extract

1(a)	**AO1 1 mark** **C** Opportunity cost	**(1)**

Question number	Answer	Mark
1(b)	**AO2 1 mark** **B** 	**(1)**

Question number	Answer	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to a negative impact and 1 mark for reference to third party A negative effect **(1)** imposed on a third party **(1)** Accept any other appropriate response	**(2)**

Question number	Answer	Mark
1(d)	**AO1 1 mark** Award 1 mark for correct example Education/healthcare/vaccination Accept any other appropriate response	**(1)**

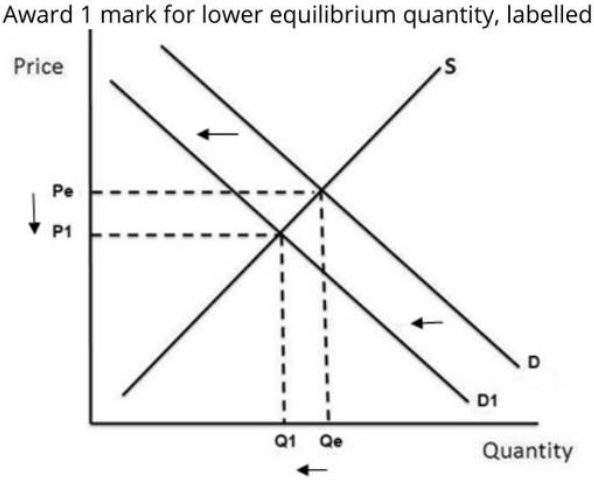
Type MS · Draw a demand or supply shift and new equilibrium

Answer 5 of 18 · Question 1 part g · 3 marks

2020 NOV · Paper 01 · extract 2 of 4 · find part g in this mark scheme extract

Question number	Answer	Mark
1(e)	**AO1 1 mark** Award 1 mark for a correct definition The desire for goods and services Accept any other appropriate response	**(1)**

Question number	Answer	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation (3,600 + 3,200 + 3,100) - 9,000 **(1)** Award 1 mark for correct excess demand = 900 **(1)** Award 2 marks if excess demand is correctly calculated, even if no calculations are shown Do not award marks for a formula	**(2)**

Question number	Answer	Mark
1(g)	**AO2 3 marks** Award 1 mark for leftward shift of demand, labelled Award 1 mark for lower equilibrium price, labelled Award 1 mark for lower equilibrium quantity, labelled  	**(3)**

Type MS · Draw a demand or supply shift and new equilibrium

Answer 5 of 18 · Question 1 part g · 3 marks

2020 NOV · Paper 01 · extract 3 of 4 · find part g in this mark scheme extract

Question number	Answer	Mark
1(h)	**AO2 3 marks** Award 1 mark for identifying a barrier to entry Award 1 mark for developing the response Award 1 mark for the response being in context • One barrier to entry is economies of scale **(1)** because established larger firms such as Sony and Warner may have lower average costs **(1)** whereas new smaller firms may struggle to keep average costs down **(1)** Accept any other appropriate response.	**(3)**

Question number	Indicative content
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • The four factors of production are land, labour, capital and enterprise • Beans are harvested from coffee plants which means that land is needed to produce coffee • The coffee beans are picked by hand because labour is needed to determine when the fruit is ready to harvest • The process of sorting the beans and transforming them from their natural state to consumable beans, ground or instant products is done by machinery, which is capital. This maybe because is it more productive/cost effective than using labour. • Enterprise combines the other factors of production to make sure the bean gets to the consumer as a consumable product • Thus, all four factors of production may be used to produce coffee as without any one of them the process would not be completed as efficiently

Type MS · Draw a demand or supply shift and new equilibrium

Answer 5 of 18 · Question 1 part g · 3 marks

2020 NOV · Paper 01 · extract 4 of 4 · find part g in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	**1–2**	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	**3–4**	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	**5–6**	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Question number	Answer	Mark

Type MS · Draw a demand or supply shift and new equilibrium

Answer 6 of 18 · Question 1 part g · 3 marks

2021 JUN · Paper 01 · extract 1 of 5 · find part g in this mark scheme extract

1(a)	**AO1 1 mark** The only correct answer is: **D** A given amount of resources being fully employed A is not correct because this cannot be determined on a PPC B is not correct because a PPC cannot show *how* production can increase C is not correct because a PPC does not show government revenue	**(1)**

Question Number	Which **one** of the following describes this economic assumption? Answer	Mark
1(b)	**AO2 1 mark** The only correct answer is: **A** Businesses aim to maximise their profit B is not correct because there is no indication of any charitable work taking place C is not correct because consumer behaviour is not described D is not correct because it is not linked to government actions	**(1)**

Question Number	What is meant by the term economies of scale? Answer	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to reduced average cost and 1 mark for reference to increased output Average costs of production fall **(1)** as the level of output rises **(1)** Accept any other appropriate response	**(2)**

Type MS · Draw a demand or supply shift and new equilibrium

Answer 6 of 18 · Question 1 part g · 3 marks

2021 JUN · Paper 01 · extract 2 of 5 · find part g in this mark scheme extract

Question Number	State **one** example of a factor of production that can be classified as land. Answer	Mark
1(d)	**AO1 1 mark** Award 1 mark for correct example • Forest • Rainwater • Coal • Oil Accept any other appropriate response	**(1)**

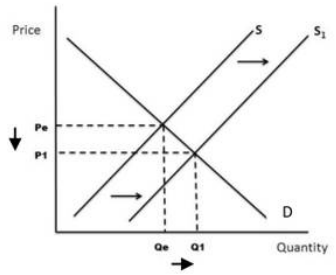
Question Number	Define the term monopoly. Answer	Mark
1(e)	**AO1 1 mark** Award 1 mark for a correct definition One dominant seller in a market Accept any other appropriate response	**(1)**

Question Number	Calculate, to two decimal places, the **price elasticity of demand (PED)** for Alfie's dog-walking service. You are advised to show your working. Answer	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation -1.1/1.5 **(1)** Award 1 mark for correct PED = -0.73 **(1)** Award 2 marks if PED is correctly calculated as -0.73, even if no calculations are shown Do not award marks for a formula	**(2)**

Type MS · Draw a demand or supply shift and new equilibrium

Answer 6 of 18 · Question 1 part g · 3 marks

2021 JUN · Paper 01 · extract 3 of 5 · find part g in this mark scheme extract

Question Number	Using the diagram below, draw the likely effects on the market for cars of the introduction of more effective technology in production. Label the new curve, the new equilibrium price and the new equilibrium quantity. Answer	Mark
1(g)	**AO2 3 marks** Award 1 mark for rightward shift of supply, labelled Award 1 mark for lower equilibrium price, labelled Award 1 mark for higher equilibrium quantity, labelled 	**(3)**

Question Number	Explain **one** possible effect on the supply of labour of the school-leaving age being raised. Answer	Mark
1(h)	**AO2 3 marks** Award 1 mark for identifying an effect Award 1 mark for developing the response Award 1 mark for the response being in context • One effect would be a decrease in the supply of labour **(1)** because young people would not be able to be employed full-time until they reached the school-leaving age **(1)** which means only people over 18 in England could contribute to the supply of labour **(1)** Accept any other appropriate response	**(3)**

Type MS · Draw a demand or supply shift and new equilibrium

Answer 6 of 18 · Question 1 part g · 3 marks

2021 JUN · Paper 01 · extract 4 of 5 · find part g in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, analyse why Bupa may have decided to operate in a wider range of markets. Indicative content
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • There are several factors that can affect the growth of firms. One of these is the desire to spread risks • By expanding its product range, Bupa can reduce the risk because it is trading in different markets • This means that if there is a problem in one market (such as health insurance) it has other areas in which it can continue to trade • Therefore the range of services, such as hospital and dental treatment, could help to finance the firm and allow it to continue to be successful, if there are problems in other markets • As Bupa operates in 190 countries, it is likely to encounter uncertainty in the different markets and therefore having a range of services means it is reducing the overall risk to the firm

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Draw a demand or supply shift and new equilibrium

Answer 6 of 18 · Question 1 part g · 3 marks

2021 JUN · Paper 01 · extract 5 of 5 · find part g in this mark scheme extract

Question Number	Which **one** of the following products has a price inelastic demand? Answer	Mark

Type MS · Draw a demand or supply shift and new equilibrium

Answer 7 of 18 · Question 1 part g · 3 marks

2021 NOV · Paper 01 · extract 1 of 5 · find part g in this mark scheme extract

1(a)	**AO1 1 mark** The only correct answer is: **D** They may complete charitable work A is not correct because this would maximise their profit B is not correct because this may help to maximise their profit C is not correct because this alone does not determine profitability	**(1)**

Question number	Answer	Mark
1(b)	**AO2 1 mark** The only correct answer is: **B** A normal good A is not correct because it has nothing to do with YED C is not correct because the YED will be greater than 1 D is not correct because the YED will be negative	**(1)**

Question number	Answer	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to the amount of output and 1 mark for reference to the input The amount of output produced **(1)** in relation to the resources used **(1)** Accept any other appropriate response	**(2)**

Question number	Answer	Mark
1(d)	**AO1 1 mark** Award 1 mark for correct formula Private costs + external costs	**(1)**

Type MS · Draw a demand or supply shift and new equilibrium

Answer 7 of 18 · Question 1 part g · 3 marks

2021 NOV · Paper 01 · extract 2 of 5 · find part g in this mark scheme extract

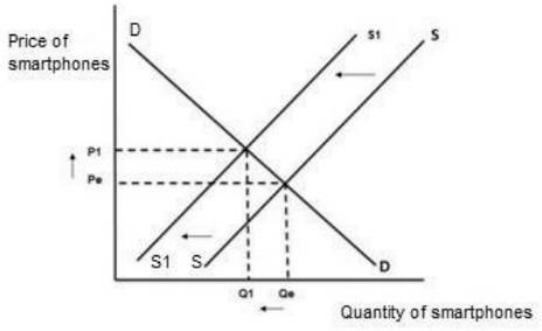
Question number	Answer	Mark
1(e)	**AO1 1 mark** Award 1 mark for a correct definition A person/company/country that supplies goods and services Accept any other appropriate response	**(1)**

Question number	Answer	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation 50 000 + (250 x 750) **(1)** Award 1 mark for correct total costs = $237 500 **(1)** Award 2 marks if total costs per month are correctly calculated as $237 500, even if no calculations are shown Award 1 mark if the answer given is 237 500, with or without calculations shown Do not award marks for a formula	**(2)**

Type MS · Draw a demand or supply shift and new equilibrium

Answer 7 of 18 · Question 1 part g · 3 marks

2021 NOV · Paper 01 · extract 3 of 5 · find part g in this mark scheme extract

Question number	Answer	Mark
1(g)	**AO2 3 marks** Award 1 mark for leftward shift of supply, labelled Award 1 mark for higher equilibrium price, labelled Award 1 mark for lower equilibrium quantity, labelled  	**(3)**

Question number	Answer	Mark
1(h)	**AO2 3 marks** Award 1 mark for identifying a reason Award 1 mark for developing the response Award 1 mark for the response being in context • To protect consumer interests **(1)** because firms may charge higher than the 0.8% daily cap **(1)** causing financial harm to consumers **(1)** Accept any other appropriate response	**(3)**

Type MS · Draw a demand or supply shift and new equilibrium

Answer 7 of 18 · Question 1 part g · 3 marks

2021 NOV · Paper 01 · extract 4 of 5 · find part g in this mark scheme extract

Question number	Indicative content
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Economies of scale result in falling average costs due to expansion • Technical economies of scale occur when larger firms can make better use of machinery than smaller ones • As Cutting Edge attracted more customers, it received more work that may require use of a powerful saw • This means it was cost-effective to purchase the equipment because the resource could be used a lot more than when Cutting Edge was only asked to cut through a small number of trees • This is because the price of the powerful saw can be spread between more gardening jobs

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Draw a demand or supply shift and new equilibrium

Answer 7 of 18 · Question 1 part g · 3 marks

2021 NOV · Paper 01 · extract 5 of 5 · find part g in this mark scheme extract

Question number	Answer	Mark

Type MS · Draw a demand or supply shift and new equilibrium

Answer 8 of 18 · Question 1 part g · 3 marks

2022 JUN · Paper 01 (regional R) · extract 1 of 5 · find part g in this mark scheme extract

1(a)	**AO1 1 mark** The only correct answer is: **A** Division of labour B is not correct because this is creating products from new ideas C is not correct because this is using more labour during production than capital D is not correct because this relates to the rate of production due to given resources	**(1)**

Question number	Answer	Mark
1(b)	**AO2 1 mark** The only correct answer is: **D** Total revenue A is not correct because this is $10 B is not correct because only variable costs are shown, not fixed costs C is not correct because this would be total revenue – total costs	**(1)**

Question number	Answer	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to an increase in demand and 1 mark for reference to decreased income Goods for which demand will increase **(1)** as incomes decrease **(1)** **OR** Goods for which demand will decrease **(1)** as incomes increase **(1)** Accept any other appropriate response	**(2)**

Type MS · Draw a demand or supply shift and new equilibrium

Answer 8 of 18 · Question 1 part g · 3 marks

2022 JUN · Paper 01 (regional R) · extract 2 of 5 · find part g in this mark scheme extract

Question number	Answer	Mark
1(d)	**AO1 1 mark** Award 1 mark for correct reason • Negative advertising • Fall in income • Negative fashion/taste change • Fall in price of substitute goods • Rise in price of complementary goods • Decrease in the population Accept any other appropriate response	**(1)**

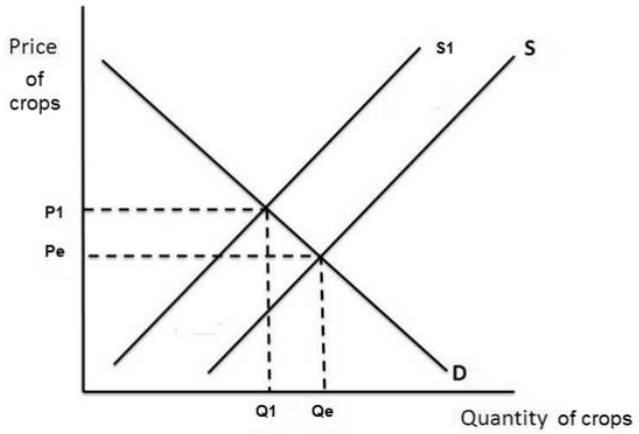
Question number	Answer	Mark
1(e)	**AO1 1 mark** Award 1 mark for a correct definition Converting resources into goods or services Accept any other appropriate response	**(1)**

	Answer	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation -2.1%/1.6% **(1)** Award 1 mark for correct PED = -1.31 **(1)** Award 2 marks if PED is correctly calculated as -1.31, even if no calculations are shown Do not award marks for a formula	**(2)**

Type MS · Draw a demand or supply shift and new equilibrium

Answer 8 of 18 · Question 1 part g · 3 marks

2022 JUN · Paper 01 (regional R) · extract 3 of 5 · find part g in this mark scheme extract

Question number	Answer	Mark
1(g)	**AO2 3 marks** Award 1 mark for leftward shift of supply, labelled Award 1 mark for higher equilibrium price, labelled Award 1 mark for lower equilibrium quantity, labelled  	(3)

Question number	Answer	Mark
1(h)	**AO2 3 marks** Award 1 mark for identifying a reason Award 1 mark for developing the response Award 1 mark for the response being in context • As China has become more developed, demand for services has increased **(1)** because people demand more of things like education and health care as the economy grows **(1)** therefore employment is likely to transfer from the primary sector towards the tertiary sector **(1)** Accept any other appropriate response	(3)

Type MS · Draw a demand or supply shift and new equilibrium

Answer 8 of 18 · Question 1 part g · 3 marks

2022 JUN · Paper 01 (regional R) · extract 4 of 5 · find part g in this mark scheme extract

Question number	Indicative content
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • It is an economic assumption that businesses aim to maximise profits • It may take time to find suitable ways of reducing the overall amount of plastic used by 100,000 tonnes, which is likely to result in higher costs • By reducing the amount of non-recyclable plastic packaging it uses, Unilever is likely to incur higher costs as it uses the more expensive recyclable plastic • Unilever may need to source alternative suppliers to replace the remaining 600,000 tonnes of plastic packaging • This means that Unilever will not maximise profits

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Draw a demand or supply shift and new equilibrium

Answer 8 of 18 · Question 1 part g · 3 marks

2022 JUN · Paper 01 (regional R) · extract 5 of 5 · find part g in this mark scheme extract

Question number	Answer	Mark

Type MS · Draw a demand or supply shift and new equilibrium

Answer 9 of 18 · Question 1 part g · 3 marks

2022 JUN · Paper 01 · extract 1 of 5 · find part g in this mark scheme extract

1(a)	**AO1 1 mark** The only correct answer is: **C** Enterprise A is not correct because it is not a resource used in production B is not correct because it is not used to produce goods/services D is not correct because it is consumed by diners	**(1)**

Question number	Answer	Mark
1(b)	**AO2 1 mark** The only correct answer is: **D** $3 200 000 A is not correct because this is $160 x $120 B is not correct because this is 20 000 + $160 C is not correct because 20 000 x $120	**(1)**

Question number	Answer	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to an increase in demand and 1 mark for reference to increased income Goods for which demand will increase **(1)** as incomes increase **(1)** **OR** Goods for which demand will decrease **(1)** as incomes decrease **(1)** Accept any other appropriate response	**(2)**

Question number	Answer	Mark
1(d)	**AO1 1 mark** Award 1 mark for correct formula • Private benefits + external benefits	**(1)**

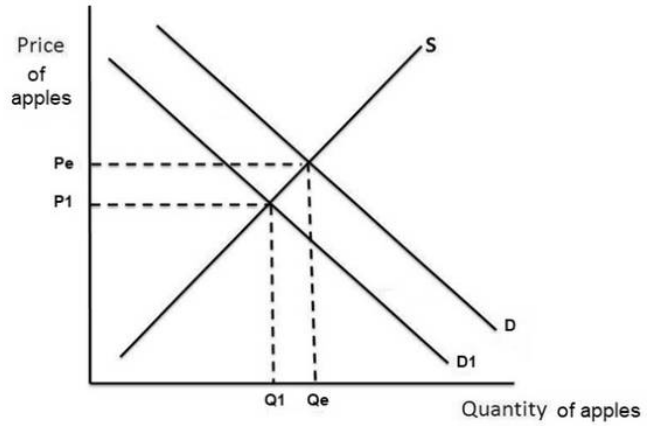
Type MS · Draw a demand or supply shift and new equilibrium

Answer 9 of 18 · Question 1 part g · 3 marks

2022 JUN · Paper 01 · extract 2 of 5 · find part g in this mark scheme extract

Question number	Answer	Mark
1(e)	**AO1 1 mark** Award 1 mark for a correct definition A specialised market for a particular product Accept any other appropriate response	**(1)**

	Answer	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation 4.7%/5.4% **(1)** Award 1 mark for correct PES = 0.87 **(1)** Award 2 marks if PES is correctly calculated as 0.87, even if no calculations are shown Do not award marks for a formula	**(2)**

Question number	Answer	Mark
1(g)	**AO2 3 marks** Award 1 mark for leftward shift of demand, labelled Award 1 mark for lower equilibrium price, labelled Award 1 mark for lower equilibrium quantity, labelled  	**(3)**

Type MS · Draw a demand or supply shift and new equilibrium

Answer 9 of 18 · Question 1 part g · 3 marks

2022 JUN · Paper 01 · extract 3 of 5 · find part g in this mark scheme extract

Question number	Answer	Mark
1(h)	**AO2 3 marks** Award 1 mark for identifying a disadvantage Award 1 mark for developing the response Award 1 mark for the response being in context • Employees may find the work boring/monotonous **(1)** because they spend the whole day sealing boxes for the orders **(1)** and they are repeatedly doing the same task **(1)** Accept any other appropriate response	**(3)**

Question number	Indicative content
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Government regulation is put in place to reduce the external costs of production and consumption • Consumers are more likely to return plastic bottles because of the scheme, so they are able to get their €0.25 back • This is likely to reduce litter and the negative impact on the environment, therefore reducing negative externalities • The scheme is also cheaper for the government, meaning more funding could be available to benefit the environment • The 98.5% return rate shows the regulation is very successful and likely to reduce negative externalities significantly • More awareness of the problems caused by plastic bottles could be gained through adoption of the scheme, leading to better prevention of other plastic waste being discarded • This can have further long-term benefits for the environment

Type MS · Draw a demand or supply shift and new equilibrium

Answer 9 of 18 · Question 1 part g · 3 marks

2022 JUN · Paper 01 · extract 4 of 5 · find part g in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Draw a demand or supply shift and new equilibrium

Answer 9 of 18 · Question 1 part g · 3 marks

2022 JUN · Paper 01 · extract 5 of 5 · find part g in this mark scheme extract

Question number	Answer	Mark

Type MS · Draw a demand or supply shift and new equilibrium

Answer 10 of 18 · Question 1 part g · 3 marks

2023 JAN · Paper 01 (regional R) · extract 1 of 5 · find part g in this mark scheme extract

1(a)	**AO1 1 mark** The only correct answer is: **A** Land B is not correct because labour is a human resource C is not correct because capital is a man-made resource D is not correct because enterprise is the element of risk	**(1)**

Question number	A firm has total costs of $700. It sells 300 items at a price of $20 each. What is the profit for the firm? **Answer**	**Mark**
1(b)	**AO2 1 mark** The only correct answer is: **A** $5 300 B is not correct because this is 300 x $20 C is not correct because this is ($700 x $20) - 300 D is not correct because this is $700 x $20	**(1)**

Question number	What is meant by the term supply? **Answer**	**Mark**
1(c)	**AO1 2 marks** Award 1 mark for reference to amount producers are willing and able to sell and 1 mark for reference to price The quantity of goods or services producers are willing and able to sell **(1)** at a given price/at a given time **(1)** Accept any other appropriate response	**(2)**

Type MS · Draw a demand or supply shift and new equilibrium

Answer 10 of 18 · Question 1 part g · 3 marks

2023 JAN · Paper 01 (regional R) · extract 2 of 5 · find part g in this mark scheme extract

Question number	State one type of an external economy of scale. **Answer**	Mark
1(d)	**AO1 1 mark** Award 1 mark for correct type • Skilled labour/infrastructure/access to suppliers/similar businesses in area Accept any other appropriate response	**(1)**

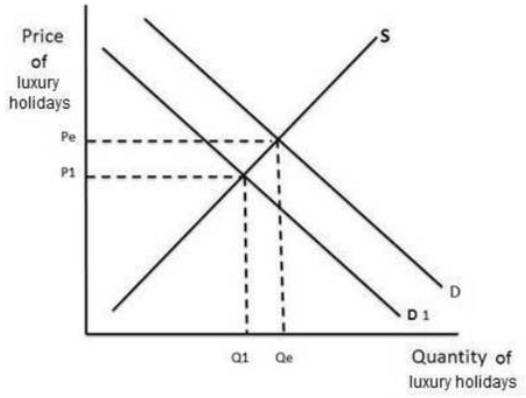
Question number	Define the term unique product. **Answer**	Mark
1(e)	**AO1 1 mark** Award 1 mark for a correct definition A good/service for which there is no substitute Accept any other appropriate response	**(1)**

Question number	Calculate the price elasticity of supply (PES) for Connor's hair salon. You are advised to show your working. **Answer**	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation 2.6%/2% **(1)** Award 1 mark for correct PED = 1.3 **(1)** Award 2 marks if PES is correctly calculated as 1.3, even if no calculations are shown Do not award marks for a formula	**(2)**

Type MS · Draw a demand or supply shift and new equilibrium

Answer 10 of 18 · Question 1 part g · 3 marks

2023 JAN · Paper 01 (regional R) · extract 3 of 5 · find part g in this mark scheme extract

Question number	Using the diagram below, draw the likely effect on the market for luxury holidays after a fall in income. Label the new curve, the new equilibrium price and the new equilibrium quantity. **Answer**	Mark
1(g)	**AO2 3 marks** Award 1 mark for leftward shift of demand, labelled Award 1 mark for lower equilibrium price, labelled Award 1 mark for lower equilibrium quantity, labelled 	(3)

Question number	Explain one possible disadvantage of privatisation for workers in the telecoms industry in Angola. **Answer**	Mark
1(h)	**AO2 3 marks** Award 1 mark for identifying a disadvantage Award 1 mark for developing the response Award 1 mark for the response being in context • Workers may be made redundant as a result of privatisation **(1)** because private firms are likely to want the telecoms industry to reduce costs **(1)** in order to increase efficiency **(1)** Accept any other appropriate response	(3)

Type MS · Draw a demand or supply shift and new equilibrium

Answer 10 of 18 · Question 1 part g · 3 marks

2023 JAN · Paper 01 (regional R) · extract 4 of 5 · find part g in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse the impact on the economy after a movement from A to B on the production possibility curve (PPC). **Indicative content**
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • A PPC shows the combination of goods that can be produced with all available resources • The maximum productive potential of the economy can be seen at point A on the PPC, where if 350 million units of capital goods are produced, 160 million units of consumer goods can be produced • If the number of capital goods produced increases to 450 million units it is not possible to continue to produce 160 million units of consumer goods • The number of consumer goods produced must fall by 30 million units, to 130 million units. This is shown at point B. (There is an opportunity cost) • As the number of capital goods produced increases, there will be an increase in the productive capacity of the economy • Because the economy can now produce more, the PPC will shift outwards allowing an increase in the number of capital goods and consumer goods to be produced in the future • An outward shift of the PPC indicates positive economic growth of the economy

Level	**Mark**	**Descriptor**
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Draw a demand or supply shift and new equilibrium

Answer 10 of 18 · Question 1 part g · 3 marks

2023 JAN · Paper 01 (regional R) · extract 5 of 5 · find part g in this mark scheme extract

Question number	Which one of the following options best describes the demand for the product? **Answer**	**Mark**

Type MS · Draw a demand or supply shift and new equilibrium

Answer 11 of 18 · Question 1 part g · 3 marks

2023 JAN · Paper 01 · extract 1 of 6 · find part g in this mark scheme extract

1(a)	**AO1 1 mark** The only correct answer is: **B** A secondary sector firm A is not correct because a primary sector firm extracts natural resources C is not correct because a tertiary firm produces services D is not correct because this is the tertiary sector	**(1)**

Question number	What is the monthly labour productivity of the firm? **Answer**	**Mark**
1(b)	**AO2 1 mark** The only correct answer is: **B** 50 units A is not correct because this is 540 / 27,000 C is not correct because this is 540 + 27,000 D is not correct because this is 540 x 27,000	**(1)**

Question number	What is meant by the term division of labour? **Answer**	**Mark**
1(c)	**AO1 2 marks** Award 1 mark for reference to breaking production up and 1 mark for reference to employees are allocated only one task When a firm breaks up the production process **(1)** so that employees perform only one task **(1)** Accept any other appropriate response	**(2)**

Type MS · Draw a demand or supply shift and new equilibrium

Answer 11 of 18 · Question 1 part g · 3 marks

2023 JAN · Paper 01 · extract 2 of 6 · find part g in this mark scheme extract

Question number	State one factor of production. **Answer**	Mark
1(d)	**AO1 1 mark** Award 1 mark for correct factor • Land/labour/capital/enterprise	**(1)**

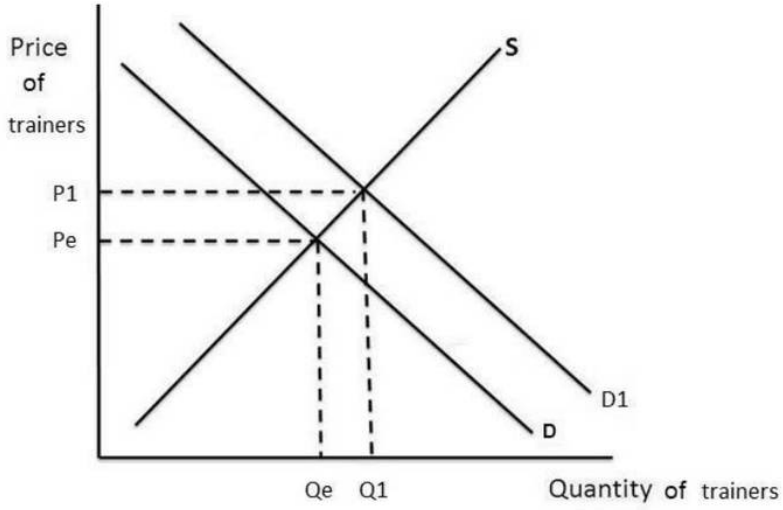
Question number	Define the term public sector. **Answer**	Mark
1(e)	**AO1 1 mark** Award 1 mark for a correct definition Government provision of goods/services Accept any other appropriate response	**(1)**

Question number	Calculate, to two decimal places, the price elasticity of demand (PED) for Yusef's portraits. You are advised to show your working. **Answer**	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation 3.2% / -2.5% **(1)** Award 1 mark for correct PED = -1.28 **(1)** Award 2 marks if PED is correctly calculated as -1.28, even if no calculations are shown Do not award marks for a formula	**(2)**

Type MS · Draw a demand or supply shift and new equilibrium

Answer 11 of 18 · Question 1 part g · 3 marks

2023 JAN · Paper 01 · extract 3 of 6 · find part g in this mark scheme extract

Question number	Using the diagram below, draw the likely effects on the market after a popular celebrity was seen wearing trainers. Label the new curve, the new equilibrium price and the new equilibrium quantity. **Answer**	Mark
1(g)	**AO2 3 marks** Award 1 mark for rightward shift of demand, labelled Award 1 mark for higher equilibrium price, labelled Award 1 mark for higher equilibrium quantity, labelled  	(3)

Type MS · Draw a demand or supply shift and new equilibrium

Answer 11 of 18 · Question 1 part g · 3 marks

2023 JAN · Paper 01 · extract 4 of 6 · find part g in this mark scheme extract

Question number	Explain one reason why Spice Cottage may not aim to maximise its profit. **Answer**	**Mark**
1(h)	**AO2 3 marks** Award 1 mark for identifying a reason Award 1 mark for developing the response Award 1 mark for the response being in context • A business may have alternative business objectives, such as survival/growth **(1)** by selling at a lower price, Spice Cottage may not maximise revenue and therefore may not maximise profit either **(1)** the business may therefore attract more consumers due to the lower price, which will help the new firm to survive/grow **(1)** Accept any other appropriate response	**(3)**

Type MS · Draw a demand or supply shift and new equilibrium

Answer 11 of 18 · Question 1 part g · 3 marks

2023 JAN · Paper 01 · extract 5 of 6 · find part g in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse why this knowledge could be useful to a firm such as Megabus. **Indicative content**
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • These figures allow Megabus to calculate income elasticity of demand • Bus travel has an income elasticity of -15%/10% = -1.5 • The value of income elasticity is negative and therefore an inferior good • An inferior good is a product or service which has a decrease in quantity demand as incomes increase and increase in quantity demanded as incomes decrease (they have an inverse relationship) • Bus travel is income elastic because the percentage decrease in quantity demanded is greater than the percentage increase in income • This means that if passengers' incomes increase the demand for bus travel will fall but if incomes fall the demand for bus travel will rise • Awareness of this may allow Megabus to reduce/increase the services it offers in Canada, the US or the UK, depending on where incomes change • This could help to reduce costs if there is less demand for bus services • This can also help Megabus to plan employee requirements so it does not incur higher wage costs than necessary

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Draw a demand or supply shift and new equilibrium

Answer 11 of 18 · Question 1 part g · 3 marks

2023 JAN · Paper 01 · extract 6 of 6 · find part g in this mark scheme extract

Question Number	Which one of the following options is the type of market shown in Figure 2? **Answer**	Mark

Type MS · Draw a demand or supply shift and new equilibrium

Answer 12 of 18 · Question 1 part g · 3 marks

2023 JUN · Paper 01 (regional R) · extract 1 of 5 · find part g in this mark scheme extract

1(a)	**AO1 1 mark** The only correct answer is: **B** Inferior good A is not correct because this is purchased by firms to produce other goods which should increase in demand as consumer incomes increase C is not correct because demand would increase as incomes increase D is not correct because as incomes increase, so would demand	**(1)**

Question number	Which **one** of the following equals $1 740? **Answer**	**Mark**
1(b)	**AO2 1 mark** The only correct answer is: **D** Total variable costs A is not correct because price cannot be calculated from the information B is not correct because there is not enough information to calculate revenue and therefore profit C is not correct because the quantity of units produced is needed to do this calculation	**(1)**

Question number	What is meant by the term division of labour? **Answer**	**Mark**
1(c)	**AO1 2 marks** Award 1 mark for reference to splitting up production and 1 mark for reference to tasks Breaking down the production process **(1)** into smaller tasks **(1)** Accept any other appropriate response	**(2)**

Type MS · Draw a demand or supply shift and new equilibrium

Answer 12 of 18 · Question 1 part g · 3 marks

2023 JUN · Paper 01 (regional R) · extract 2 of 5 · find part g in this mark scheme extract

Question number	State **one** reason why a supply curve will shift to the left. **Answer**	Mark
1(d)	**AO1 1 mark** Award 1 mark for correct reason • Rise in the cost of production • Rise in indirect taxes • Fall in subsidies • Natural factors/disasters Accept any other appropriate response	**(1)**

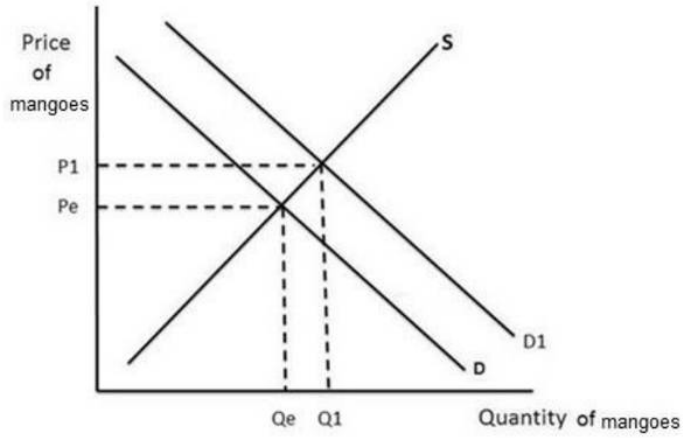
Question number	Define the term competition. **Answer**	Mark
1(e)	**AO1 1 mark** Award 1 mark for a correct definition Rivalry that exists between firms Accept any other appropriate response	**(1)**

Question number	Calculate the **total revenue** for the firm when its monthly sales are 250 units. You are advised to show your working. **Answer**	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation €75 x 250 **(1)** Award 1 mark for correct total revenue = €18 750 **(1)** Award 2 marks if total revenue is correctly calculated as €18 750, even if no calculations are shown Award 1 mark if the answer given is 18 750 with or without calculations shown Do not award marks for a formula	**(2)**

Type MS · Draw a demand or supply shift and new equilibrium

Answer 12 of 18 · Question 1 part g · 3 marks

2023 JUN · Paper 01 (regional R) · extract 3 of 5 · find part g in this mark scheme extract

Question number	Using the diagram below, draw the likely effects on the market for mangoes after a study shows that eating them leads to an improvement in health. Label the new curve, the new equilibrium price and the new equilibrium quantity. **Answer**	Mark
1(g)	**AO2 3 marks** Award 1 mark for rightward shift of demand, labelled Award 1 mark for higher equilibrium price, labelled Award 1 mark for higher equilibrium quantity, labelled  	**(3)**

Question number	Explain **one** possible reason why Christine serves large-sized meals. **Answer**	Mark
1(h)	**AO2 3 marks** Award 1 mark for identifying a reason Award 1 mark for developing the response Award 1 mark for the response being in context One reason is that Christine may prioritise caring for customer needs **(1)** because she has gained a positive reputation for serving large-sized meals **(1)** meaning, customers are more likely to remain loyal to her cafe **(1)** Accept any other appropriate response	**(3)**

Type MS · Draw a demand or supply shift and new equilibrium

Answer 12 of 18 · Question 1 part g · 3 marks

2023 JUN · Paper 01 (regional R) · extract 4 of 5 · find part g in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse why there has been this shift in employment in developed countries. **Indicative content**
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • The tertiary sector involves the production of services in the economy • The secondary sector is the production of finished/semi-finished goods from raw materials • As costs of production for manufactured goods decreased in certain parts of the world, it became more difficult for firms in countries such as Germany, the UK and the US to compete • As a result, some firms may have had to cease trading or reduce the number of workers employed • The reduction in jobs in the secondary sector would discourage people from training to do manufacturing jobs • Instead, they are more likely to train in areas such as the tertiary sector, where there is an increasing demand for services, such as entertainment and restaurants due to rising incomes and therefore more employment opportunities in this sector

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Draw a demand or supply shift and new equilibrium

Answer 12 of 18 · Question 1 part g · 3 marks

2023 JUN · Paper 01 (regional R) · extract 5 of 5 · find part g in this mark scheme extract

Question number	Which **one** of the following is the formula to calculate price elasticity of supply (PES)? **Answer**	**Mark**

Type MS · Draw a demand or supply shift and new equilibrium

Answer 13 of 18 · Question 1 part g · 3 marks

2023 JUN · Paper 01 · extract 1 of 5 · find part g in this mark scheme extract

1(a)	**AO2 1 mark** The only correct answer is: **B** Positive economic growth A is not correct because this would shift the PPF inwards C is not correct because it does not show long-run average costs increasing with a rise in output D is not correct because it does not show long-run average costs decreasing with a rise in output	**(1)**

Question number	A firm has total costs of $10 000 and sells each item at a price of $100. It sells 200 items. What is the **profit or loss** for the firm? **Answer**	**Mark**
1(b)	**AO2 1 mark** The only correct answer is: **B** $10 000 profit A is not correct because total costs have not been deducted C is not correct because a profit would be made and not a loss D is not correct because this is $10 000 - $20 000	**(1)**

Question number	What is meant by the term privatisation? **Answer**	**Mark**
1(c)	**AO1 2 marks** Award 1 mark for reference to moving from the public sector and 1 mark for reference to transfer of ownership to the private sector The government sells/transfers an organisation (in the public sector) **(1)** to the private sector **(1)** Accept any other appropriate response	**(2)**

Type MS · Draw a demand or supply shift and new equilibrium

Answer 13 of 18 · Question 1 part g · 3 marks

2023 JUN · Paper 01 · extract 2 of 5 · find part g in this mark scheme extract

Question number	State **one** reason why the government regulates competition in the economy. **Answer**	Mark
1(d)	**AO1 1 mark** Award 1 mark for a correct reason • To promote competition • To limit monopoly power • To protect consumer interests • To control mergers and takeovers Accept any other appropriate response	**(1)**

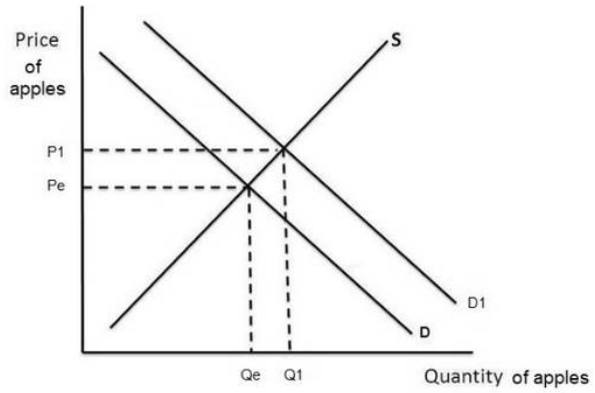
Question number	Define the term congestion. **Answer**	Mark
1(e)	**AO1 1 mark** Award 1 mark for a correct definition A situation where a place is crowded Accept any other appropriate response	**(1)**

Question number	Calculate the **total variable costs** for the firm each month. You are advised to show your working. **Answer**	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation €16 500 + €95 000 **(1)** Award 1 mark for correct total variable costs €111 500 **(1)** Award 2 marks if total variable costs per month are correctly calculated as €111 500, even if no calculations are shown Award 1 mark for 111 500 with or without calculations shown Do not award marks for a formula	**(2)**

Type MS · Draw a demand or supply shift and new equilibrium

Answer 13 of 18 · Question 1 part g · 3 marks

2023 JUN · Paper 01 · extract 3 of 5 · find part g in this mark scheme extract

Question number	Using the diagram below, draw the likely effects on the market for apples following an increase in the advertising of apples. Label the new curve, the new equilibrium price and the new equilibrium quantity. **Answer**	Mark
1(g)	**AO2 3 marks** Award 1 mark for rightward shift of demand, labelled Award 1 mark for higher equilibrium price, labelled Award 1 mark for higher equilibrium quantity, labelled  	**(3)**

Question number	Explain **one** advantage of using division of labour for the firm. **Answer**	Mark
1(h)	**AO2 3 marks** Award 1 mark for identifying an advantage Award 1 mark for developing the response Award 1 mark for the response being in context • Production is more efficient **(1)** because workers at the factory will not need to change tools repeatedly to do a different task **(1)** meaning the quantity of tennis balls produced could increase **(1)** • Workers specialising in one task become better at that task **(1)** making them more productive **(1)** and helping to lower the average costs of producing each tennis ball **(1)** Accept any other appropriate response	**(3)**

Type MS · Draw a demand or supply shift and new equilibrium

Answer 13 of 18 · Question 1 part g · 3 marks

2023 JUN · Paper 01 · extract 4 of 5 · find part g in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse how all four factors of production might be used to produce drinking water in the Canary Islands. **Indicative content**
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • The four factors of production are land, labour, capital and enterprise • Sea water is a natural resource, which is land • The salt is removed by filtering the water through machines in order to make the water drinkable, which is capital • The process of ensuring all the salt and impurities have been removed from the water is done by labour (production workers) • Enterprise combines the other factors of production to make sure the water gets to the consumer as a consumable product • Thus, all four factors of production may be used to produce drinking water as, without any one of them the process would not be completed as efficiently

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Draw a demand or supply shift and new equilibrium

Answer 13 of 18 · Question 1 part g · 3 marks

2023 JUN · Paper 01 · extract 5 of 5 · find part g in this mark scheme extract

Question number	Which **one** of the following would occur when there are unsold goods in a market? **Answer**	Mark

Type MS · Draw a demand or supply shift and new equilibrium

Answer 14 of 18 · Question 1 part g · 3 marks

2024 JUN · Paper 01 (regional R) · extract 1 of 6 · find part g in this mark scheme extract

1(a)	**AO1 1 mark** The only correct answer is: **A** 0 B is not correct because this is price inelastic supply C is not correct because supply is unitary price elasticity D is not correct because this is price elastic supply	**(1)**

Question number	Which **one** of the following is the most likely type of government policy to produce this decrease in costs? **Answer**	**Mark**
1(b)	**AO2 1 mark** The only correct answer is: **C** Increased subsidy A is not correct because this would not lower total costs B is not correct because this would be more likely to increase total costs D is not correct because increased taxation would increase total costs	**(1)**

Question number	What is meant by the term private sector? **Answer**	**Mark**
1(c)	**AO1 2 marks** Award up to 2 marks for a correct definition Firms owned by individuals or groups **(1)** that provide goods/ services **(1)** Accept any other appropriate response	**(2)**

Type MS · Draw a demand or supply shift and new equilibrium

Answer 14 of 18 · Question 1 part g · 3 marks

2024 JUN · Paper 01 (regional R) · extract 2 of 6 · find part g in this mark scheme extract

Question number	State **one** factor that may affect the supply of labour. **Answer**	**Mark**
1(d)	**AO1 1 mark** Award 1 mark for correct factor • Population • Migration • Retirement age • School-leaving age • Age distribution of population • Female participation • Skills and qualifications • Ability to move geographic locations • Ability to move to different types of employment Accept any other appropriate response	**(1)**

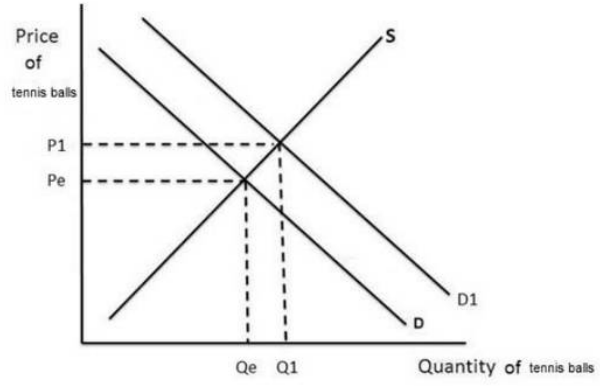
Question number	Define the term government. **Answer**	**Mark**
1(e)	**AO1 1 mark** Award 1 mark for a correct definition • A group with the authority to run a country/state Accept any other appropriate response	**(1)**

Type MS · Draw a demand or supply shift and new equilibrium

Answer 14 of 18 · Question 1 part g · 3 marks

2024 JUN · Paper 01 (regional R) · extract 3 of 6 · find part g in this mark scheme extract

Question number	Calculate, to two decimal places, the **income elasticity of demand (YED)** for a good if income increases by 6.2% and quantity demanded increases by 1.7%. You are advised to show your working. **Answer**	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation 1.7% ÷ 6.2% **(1)** Award 1 mark for correct income elasticity of demand (YED) = 0.27 **(1)** Award 2 marks if YED is correctly calculated as 0.27, even if no calculations are shown Do not award marks for the formula	**(2)**

Question number	Using the diagram below, draw the likely effects on the market for tennis balls after a fall in the price of tennis rackets. Label the new curve, the new equilibrium price and the new equilibrium quantity. **Answer**	Mark
1(g)	**AO2 3 marks** Award 1 mark for a rightward shift of demand, labelled Award 1 mark for a higher equilibrium price, labelled Award 1 mark for a higher equilibrium quantity, labelled  	**(3)**

Type MS · Draw a demand or supply shift and new equilibrium

Answer 14 of 18 · Question 1 part g · 3 marks

2024 JUN · Paper 01 (regional R) · extract 4 of 6 · find part g in this mark scheme extract

Question number	Explain **one** possible opportunity cost for the firm of this decision. **Answer**	**Mark**
1(h)	**AO2 3 marks** Award 1 mark for identifying a relevant opportunity cost Award 1 mark for developing the opportunity cost Award 1 mark for the response being in context • One opportunity cost is the firm may not be able to buy new machinery **(1)** because it does not have enough money to buy both **(1)** so it has to sacrifice the new machinery when buying the delivery vehicle **(1)** Accept any other appropriate response	**(3)**

Type MS · Draw a demand or supply shift and new equilibrium

Answer 14 of 18 · Question 1 part g · 3 marks

2024 JUN · Paper 01 (regional R) · extract 5 of 6 · find part g in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse a possible reason why Jags chose not to maximise profit. **Indicative content**
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • It is an economic assumption that firms will want to profit maximise • By offering a free lunch to children during the school holiday Jags will reduce the profit made by the café • Due to the rising cost of living, customers in the small town may be more likely to visit Jags' café to benefit from a free lunch • Therefore, having aims which prioritise caring for customers may be beneficial to the café's revenue as well • It is possible Jags will attract positive publicity for her café by offering the free meals and enhance her reputation

Level	**Mark**	**Descriptor**
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Draw a demand or supply shift and new equilibrium

Answer 14 of 18 · Question 1 part g · 3 marks

2024 JUN · Paper 01 (regional R) · extract 6 of 6 · find part g in this mark scheme extract

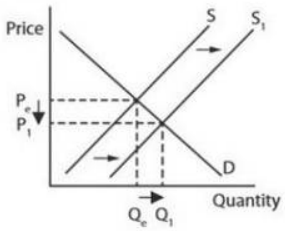
Question number	Which **one** of the following diagrams shows excess demand? **Answer**	**Mark**

Type MS · Draw a demand or supply shift and new equilibrium

Answer 15 of 18 · Question 1 part g · 3 marks

2024 NOV · Paper 01 · extract 1 of 5 · find part g in this mark scheme extract

1(a)	**AO1 1 mark** The only correct answer is: **C** The next best alternative given up A is not correct because this is business competition B is not correct because this gives no alternative choice D is not correct because this is spare capacity	**(1)**

Question number	Which **one** of the following diagrams shows the likely effect on the market for cars after an increase in subsidies to car manufacturers? **Answer**	**Mark**
1(b)	**AO2 1 mark** The only correct answer is **A**  B is not correct because this would be due to a change in price C is not correct because this is a decrease in supply D is not correct because this is a movement along the supply curve	**(1)**

Question number	What is meant by the term external benefit? **Answer**	**Mark**
1(c)	**AO1 2 marks** Award up to 2 marks for a correct definition A positive effect **(1)** enjoyed by a third party **(1)** Accept any other appropriate response	**(2)**

Type MS · Draw a demand or supply shift and new equilibrium

Answer 15 of 18 · Question 1 part g · 3 marks

2024 NOV · Paper 01 · extract 2 of 5 · find part g in this mark scheme extract

Question number	State **one** example of an external cost. **Answer**	Mark
1(d)	**AO1 1 mark** Award 1 mark for a correct example • Pollution • Congestion • Environmental damage Accept any other appropriate response	**(1)**

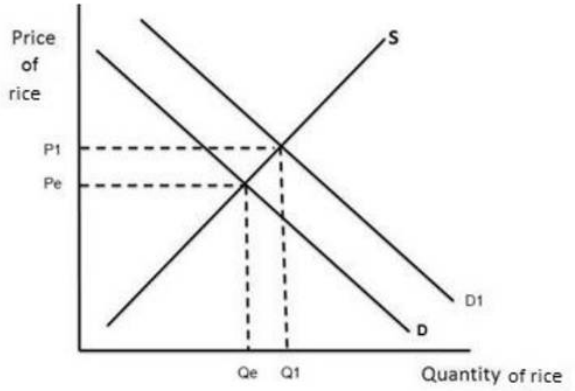
Question number	Define the term takeover. **Answer**	Mark
1(e)	**AO1 1 mark** Award 1 mark for a correct definition When one firm takes control of another firm Accept any other appropriate response	**(1)**

Question number	Calculate, to two decimal places, the **price elasticity of supply (PES)** for a good if price decreases by 9.4% and quantity supplied decreases by 3.7%. You are advised to show your working. **Answer**	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation -3.7%/-9.4% **(1)** Award 1 mark for correct PES = 0.39 **(1)** Award 2 marks if PES is correctly calculated as 0.39 even if no calculations are shown Award 1 mark if PES is calculated as 0.39%, even if no calculations are shown Do not award marks for the formula	**(2)**

Type MS · Draw a demand or supply shift and new equilibrium

Answer 15 of 18 · Question 1 part g · 3 marks

2024 NOV · Paper 01 · extract 3 of 5 · find part g in this mark scheme extract

Question number	Using the diagram below, draw the likely effect of an increase in the population on the market for rice. Label the new curve, the new equilibrium price and the new equilibrium quantity. **Answer**	**Mark**
1(g)	**AO2 3 marks** Award 1 mark for a rightward shift of the demand curve, labelled Award 1 mark for a higher equilibrium price, labelled Award 1 mark for a higher equilibrium quantity, labelled  	**(3)**

Question number	Explain **one** reason why demand for a product, such as a soft drink, usually becomes more price elastic over time. **Answer**	**Mark**
1(h)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • In the short term, consumers may not be able to break their habit **(1)** but in time they are able to reduce consumption **(1)** meaning that they buy less of the sugary products **(1)** • More firms may enter the market **(1)** meaning more substitutes are available **(1)** so, in time, the difference in PED is 0.5 more elastic **(1)** Accept any other appropriate response	**(3)**

Type MS · Draw a demand or supply shift and new equilibrium

Answer 15 of 18 · Question 1 part g · 3 marks

2024 NOV · Paper 01 · extract 4 of 5 · find part g in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse how all four factors of production might be used to produce chocolate. **Indicative content**
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Cocoa pods and sugar are natural resources, which are all examples of land being needed to produce chocolate • The cocoa pods are picked by hand which means labour is needed • Ovens in which the cocoa beans are roasted are examples of capital, because these are man-made • Enterprise combines the other factors of production to make sure the production from cocoa to chocolate takes place effectively to get the finished product to the consumer • Thus, all four factors of production may be used to produce chocolate, as without any one of them the process would not be completed as efficiently

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Draw a demand or supply shift and new equilibrium

Answer 15 of 18 · Question 1 part g · 3 marks

2024 NOV · Paper 01 · extract 5 of 5 · find part g in this mark scheme extract

Question number	Which **one** of the following options is the most suitable term for the type of market shown in Figure 2? **Answer**	**Mark**

Type MS · Draw a demand or supply shift and new equilibrium

Answer 16 of 18 · Question 1 part g · 3 marks

2025 JUN · Paper 01 (regional R) · extract 1 of 5 · find part g in this mark scheme extract

1(a)	**AO1 1 mark** The only correct answer is: **D** Production which is obtainable A is not correct because this cannot be determined on a PPC B is not correct because a PPC cannot show how production can be increased C is not correct because a PPC does not show revenue	**(1)**

Question number	Which **one** of the following describes why the firm might do this? **Answer**	**Mark**
1(b)	**AO2 1 mark** The only correct answer is: **B** Producers may complete charitable work A is not correct because producers would not make a profit C is not correct because it is not linked to consumer actions D is not correct because consumer behaviour is not described	**(1)**

Question number	What is meant by the term economies of scale? **Answer**	**Mark**
1(c)	**AO1 2 marks** Award up to 2 marks for a correct definition Average costs of production fall **(1)** as the firm increases in size **(1)** Accept any other appropriate response	**(2)**

Type MS · Draw a demand or supply shift and new equilibrium

Answer 16 of 18 · Question 1 part g · 3 marks

2025 JUN · Paper 01 (regional R) · extract 2 of 5 · find part g in this mark scheme extract

Question number	State **one** example of an item that can be classified as capital. **Answer**	Mark
1(d)	**AO1 1 mark** Award 1 mark for a correct example • Machines • Computers • Factories • Vehicles Accept any other appropriate response	**(1)**

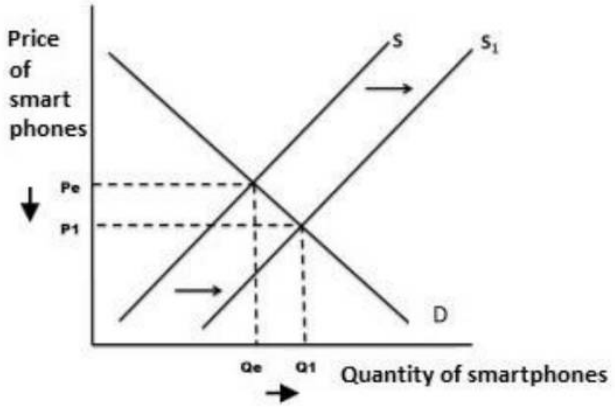
Question number	Define the term price-maker. **Answer**	Mark
1(e)	**AO1 1 mark** Award 1 mark for a correct definition A firm is able to set the price charged in the whole market Accept any other appropriate response	**(1)**

Question number	Calculate, to two decimal places, the **price elasticity of demand (PED)** for a good if the price decreases by 4.7% and the quantity demanded increases by 1.8%. You are advised to show your working. **Answer**	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation 1.8%/-4.7% **(1)** Award 1 mark for correct PED = -0.38 **(1)** Award 2 marks if PED is correctly calculated as -0.38 even if no calculations are shown Award 1 mark if PED is calculated as -0.38% with or without calculations shown Do not award marks for the formula	**(2)**

Type MS · Draw a demand or supply shift and new equilibrium

Answer 16 of 18 · Question 1 part g · 3 marks

2025 JUN · Paper 01 (regional R) · extract 3 of 5 · find part g in this mark scheme extract

Question number	Using the diagram below, draw the likely effect on the market for smartphones following an increase in productivity. Label the new curve, the new equilibrium price and the new equilibrium quantity. **Answer**	**Mark**
1(g)	**AO2 3 marks** Award 1 mark for a rightward shift of the supply curve, labelled Award 1 mark for a lower equilibrium price, labelled Award 1 mark for higher equilibrium quantity, labelled 	**(3)**

Question number	Explain **one** possible effect of this change in the pension age on the supply of labour. **Answer**	**Mark**
1(h)	**AO2 3 marks** Award 1 mark for identifying a relevant effect Award 1 mark for developing the effect Award 1 mark for the response being in context • One effect would be an increase in the supply of labour **(1)** because fewer people would be able to afford to retire until they reached the retirement age **(1)** meaning more people up to the age of 64 would be available for work **(1)** Accept any other appropriate response	**(3)**

Type MS · Draw a demand or supply shift and new equilibrium

Answer 16 of 18 · Question 1 part g · 3 marks

2025 JUN · Paper 01 (regional R) · extract 4 of 5 · find part g in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse the impact of an increase in price on the quantity supplied of avocados. **Indicative content**
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • The diagram shows that the PES of avocados is inelastic • This means that the quantity of avocados supplied is not very responsive to an increase in price • The PES of avocados is inelastic because farmers cannot easily increase the production level even with an increase in price • Avocados take time to grow and are primary/agricultural products. The supply is dependent on factors such as weather/climate. It cannot therefore be easily increased, even if there is an increase in the price consumers are willing and able to pay • It is also not possible to store avocados for a long period because they are perishable and therefore stock cannot be used to increase the quantity of supply, this also makes the PES of avocados inelastic

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Draw a demand or supply shift and new equilibrium

Answer 16 of 18 · Question 1 part g · 3 marks

2025 JUN · Paper 01 (regional R) · extract 5 of 5 · find part g in this mark scheme extract

Question number	Which **one** of the following products has a price elastic demand? **Answer**	**Mark**

Type MS · Draw a demand or supply shift and new equilibrium

Answer 17 of 18 · Question 1 part g · 3 marks

2025 JUN · Paper 01 · extract 1 of 7 · find part g in this mark scheme extract

1(a)	**AO1 1 mark** The only correct answer is: **B** Consumers aim to maximise benefits A is not correct because firms often aim to maximise profit C is not correct because consumers are giving up the products D is not correct because these consumers would be calculating benefits	**(1)**

Question number	Which **one** of the following best describes the product? **Answer**	**Mark**
1(b)	**AO2 1 mark** The only correct answer is: **D** An inferior good A is not correct because YED does not determine whether a good is a public good B is not correct because the YED would be positive C is not correct because the YED would be positive and greater than 1	**(1)**

Question number	What is meant by the term productivity? **Answer**	**Mark**
1(c)	**AO1 2 marks** Award up to 2 marks for a correct definition The amount of output produced **(1)** in relation to the resources used/time period **(1)**	

Type MS · Draw a demand or supply shift and new equilibrium

Answer 17 of 18 · Question 1 part g · 3 marks

2025 JUN · Paper 01 · extract 2 of 7 · find part g in this mark scheme extract

	Accept any other appropriate response	**(2)**

Type MS · Draw a demand or supply shift and new equilibrium

Answer 17 of 18 · Question 1 part g · 3 marks

2025 JUN · Paper 01 · extract 3 of 7 · find part g in this mark scheme extract

Question number	State the formula for social costs. **Answer**	Mark
1(d)	**AO1 1 mark** Award 1 mark for correct formula Private costs + external costs Accept any other appropriate response	**(1)**

Question number	Define the term producer. **Answer**	Mark
1(e)	**AO1 1 mark** Award 1 mark for a correct definition A person/company/country that creates/makes goods and/or services Accept any other appropriate response	**(1)**

Question number	Calculate the **total costs per month** for the firm. You are advised to show your working. **Answer**	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation €37 000 + (€170 x 650) **(1)** Award 1 mark for calculating correct total costs = €147 500 **(1)** Award 2 marks if total costs per month are correctly calculated as €147 500 even if no calculations are shown Award 1 mark if the answer given is 147 500, with or without calculations shown Do not award marks for the formula	**(2)**

Type MS · Draw a demand or supply shift and new equilibrium

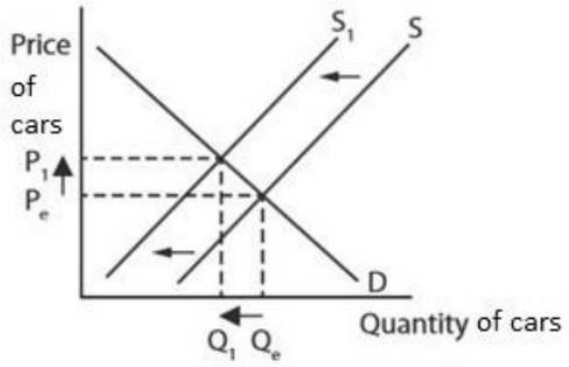
Answer 17 of 18 · Question 1 part g · 3 marks

2025 JUN · Paper 01 · extract 4 of 7 · find part g in this mark scheme extract

Type MS · Draw a demand or supply shift and new equilibrium

Answer 17 of 18 · Question 1 part g · 3 marks

2025 JUN · Paper 01 · extract 5 of 7 · find part g in this mark scheme extract

Question number	Using the diagram below, draw the likely effect on the market for cars following a rise in the costs of raw materials. Label the new curve, the new equilibrium price and the new equilibrium quantity. **Answer**	Mark
1(g)	**AO2 3 marks** Award 1 mark for a leftward shift of the supply curve, labelled Award 1 mark for a higher equilibrium price, labelled Award 1 mark for a lower equilibrium quantity, labelled  	(3)

Question number	Explain **one** reason why the CMA may have made this decision. **Answer**	Mark
1(h)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • In order to prevent monopoly power **(1)** and so promote competition **(1)** as a firm with over 60% of the market may be less likely to innovate **(1)** Accept any other appropriate response	(3)

Type MS · Draw a demand or supply shift and new equilibrium

Answer 17 of 18 · Question 1 part g · 3 marks

2025 JUN · Paper 01 · extract 6 of 7 · find part g in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse how an increase in demand for furniture made of wood may affect the demand for woodcutters. **Indicative content**
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • When an industry needs labour to create a good/service, the demand for labour is a derived demand • This is because the good/service cannot be produced without labour • Therefore, woodcutters are needed to cut the wood with which to make the furniture (the final product) • An increase in demand for furniture made of wood by 5% is likely to lead to an increase in the demand for woodcutters • This is because the greater the demand for a good or service, the greater the demand for labour is likely to be

Level	**Mark**	**Descriptor**
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Draw a demand or supply shift and new equilibrium

Answer 17 of 18 · Question 1 part g · 3 marks

2025 JUN · Paper 01 · extract 7 of 7 · find part g in this mark scheme extract

Question number	Which **one** of the following options shows unobtainable production? **Answer**	**Mark**

Type MS · Draw a demand or supply shift and new equilibrium

Answer 18 of 18 · Question 1 part g · 3 marks

2025 NOV · Paper 01 · extract 1 of 5 · find part g in this mark scheme extract

1(a)	**AO1 1 mark** The only correct answer is: **C** Secondary A is not correct because this is not a sector of the economy in which production occurs B is not correct because this would involve the extraction of raw materials D is not correct because this involves the use of services	**(1)**

Question number	Wood is an example of which **one** of the following factors of production? **Answer**	**Mark**
1(b)	**AO2 1 mark** The only correct answer is: **D** Land A is not correct because this would be man-made B is not correct because this would be the combining of factors C is not correct because this would include workers	**(1)**

Question number	What is meant by the term total costs? **Answer**	**Mark**
1(c)	**AO1 2 marks** Award up to 2 marks for a correct definition (Total) fixed costs plus **(1)** (total) variable costs **(1)** Accept any other appropriate response	**(2)**

Type MS · Draw a demand or supply shift and new equilibrium

Answer 18 of 18 · Question 1 part g · 3 marks

2025 NOV · Paper 01 · extract 2 of 5 · find part g in this mark scheme extract

Question number	State the formula for social benefits. **Answer**	Mark
1(d)	**AO1 1 mark** Award 1 mark for correct formula Private benefits + external benefits Accept any other appropriate response	**(1)**

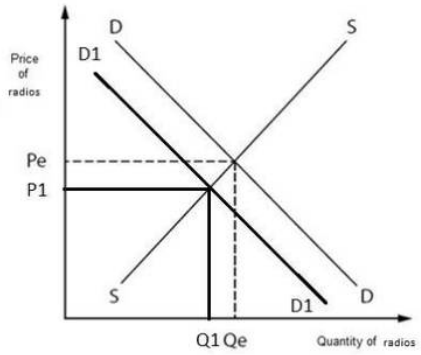
Question number	Define the term substitute good. **Answer**	Mark
1(e)	**AO1 1 mark** Award 1 mark for a correct definition Goods bought as a suitable alternative to another good Accept any other appropriate response	**(1)**

Question number	Calculate the **excess demand** in March for the sunglasses. You are advised to show your working. **Answer**	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation 1,350 - (639 + 715 + 516) **(1)** **OR** 1,350 - 1,870 **(1)** Award 1 mark for calculating correct excess demand = 520 (pairs of sunglasses) **(1)** Award 2 marks if excess demand in March is correctly calculated as 520 even if no calculations are shown Do not award marks for the formula	**(2)**

Type MS · Draw a demand or supply shift and new equilibrium

Answer 18 of 18 · Question 1 part g · 3 marks

2025 NOV · Paper 01 · extract 3 of 5 · find part g in this mark scheme extract

Question number	Using the diagram below, draw the likely effect on the market for radios following a fall in their popularity. Label the new curve, the new equilibrium price and the new equilibrium quantity. **Answer**	**Mark**
1(g)	**AO2 3 marks** Award 1 mark for a leftward shift of the demand curve, labelled Award 1 mark for a lower equilibrium price, labelled Award 1 mark for a lower equilibrium quantity, labelled  	**(3)**

Question number	Explain **one** reason why consumers may benefit as a result of mergers in the pharmaceutical industry. **Answer**	**Mark**
1(h)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • Economies of scale may occur as a result of a merger **(1)** because the new and larger pharmaceutical firms may be able to buy ingredients in bulk at a lower cost **(1)** meaning consumers may benefit from lower prices being passed on by the firms **(1)** Accept any other appropriate response	**(3)**

Type MS · Draw a demand or supply shift and new equilibrium

Answer 18 of 18 · Question 1 part g · 3 marks

2025 NOV · Paper 01 · extract 4 of 5 · find part g in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse the possible disadvantages faced by consumers from collusion between firms that provide accommodation for rent. **Indicative content**
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • The anti-competitive practice of collusion means firms are able to act like a monopoly • This means it is more difficult for new firms to enter the market and reduces choice for consumers/tenants • Collusion to fix prices could lead to firms receiving higher profits at the expense of the tenant, who may have to pay more in rent • Therefore, this could make it more difficult for tenants to find cheaper accommodation or to have a choice of the firm they rent from • As many tenants are struggling to afford the rent they pay and over 1 million properties are affected, the impact on consumers is likely to be considerable

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Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Draw a demand or supply shift and new equilibrium

Answer 18 of 18 · Question 1 part g · 3 marks

2025 NOV · Paper 01 · extract 5 of 5 · find part g in this mark scheme extract

Question number	Which **one** of the following is the correct label to replace 'X'? **Answer**	Mark